SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Insight Medical Limited ("Insight") is one of the leading ophthalmic service providers in Hong Kong, which is owned by Dr John Wong and Dr Peter Chan. Dr Wong and Dr Chan are the founders and the board of directors of Insight. They are responsible for setting the business strategy and making all key business decision for Insight. Insight has a team of five ophthalmologists including Dr Wong and Dr Chan. Each ophthalmologist supervises one clinic with designated nurses and other health professionals. The accounting team of Insight is supervised by a newly recruited accounting manager who has five years of accounting and auditing experience mainly in Hong Kong.

Currently Insight has five leased clinics located in Central, Tsim Sha Tsui, Mongkok, Kwun Tong and Tsuen Wan. Insight provides (i) consultation and other medical services as well as (ii) surgery services to their clients. The services provided and the respective range of fee charges are listed in the price list which can be found on Insight's website and at the reception of the clinics.

All clinics of Insight are equipped with advanced diagnostic and treatment equipment for providing ophthalmic diagnoses and treatment to the patients. Surgery services can either be provided at the clinics or private hospitals at the request of patients or upon the recommendation of the ophthalmologists but subject to different surgery charges. The surgery and related costs are communicated and agreed with the patients before the surgery is carried out.

Insight use "Accounting Plus" which is a packaged software to keep track of the sales and accounting records as well as the general ledgers. Access to "Accounting Plus" is restricted to designated nurses in each clinics and the accounting team of Insight. Patient records with sensitive personal data are stored in a self-developed system named "Patient-in". Access to "Patient-in" is restricted to the five ophthalmologists and a few designated nurses and health professional only. The designated nurses are responsible for maintaining the personal details of the patients in the system while the five ophthalmologists and the health professional have different rights in the system to update the patients' health records.

Over 80% of patients pay with credit cards for the services while the rest pay cash. Though patients may make insurance claims on the services, patients still need to pay in full at the clinic either by cash or credit card. However, the clinic will provide valid paper work to patients to assist them in making the claims to the insurance companies.

Sales transactions are recorded into "Accounting Plus" with sales receipts that are generated simultaneously. All sales receipts are pre-numbered. The nurses provide patients with sales receipts after payments. The consultation certificates endorsed by doctors will also be provided upon request by patients. There was neither bad debt written off nor provision for doubtful debt made in the past.

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During the year, Insight advanced HK$10 million to Dr Wong's brother for his purchase of a property in Tin Hau. The advance is not secured, with no fixed repayment terms and is interest-free. In November 2019, there were news that Insight and Dr Wong were blamed for negligence in carrying out a surgery for a young patient in early 2019.

Extract of the financial information of Insight:

	2019 (unaudited) HK$'000	**2018 (audited) HK$'000**
Consultation and other medical services fee	73,000	64,500
Surgery fee	131,085	125,950
Total revenue	**204,085**	**190,450**
Doctors' consultation fees	32,654	32,377
Cost of inventories and consumables	32,654	30,472
Staff salaries and allowances	24,490	22,854
Rent and rates	16,327	17,141
Depreciation	12,245	11,427
Others	4,082	3,809
Total cost of revenue	**122,452**	**118,080**
Central	27,756	24,602
Tsim Sha Tsui	26,939	23,439
Mongkok	17,143	16,783
Kwun Tong	17,958	16,189
Tsuen Wan	(8,163)	(8,643)
Total gross profit by clinic	**81,633**	**72,370**
	40%	38%
Net profit	**36,735**	**36,186**
	18%	19%
Property, plant and equipment (including right-of-use assets)	62,000	61,000
Trade receivables	20,500	19,100
Other receivables	10,000	-
Inventories	3,200	2,800
Cash and bank	34,000	30,000
Others	10,000	9,500
Total assets	**139,700**	**122,400**
Trade and other payables	1,800	1,700
Leased liabilities	3,000	-
Others	3,000	4,000
Total liabilities	**7,800**	**5,700**
Total equity	**131,900**	**116,700**

Note:

The 2019 financial information is extracted from the management accounts of Insight for the year ending 31 December 2019.

The 2018 financial information is extracted from the audited financial statements of Insight for the year ended 31 December 2018.

HKFRS 16 *Leases* became effective from 1 January 2019. Insight adopted HKFRS 16 retrospectively from 1 January 2019, but has not restated comparatives for the 2018 reporting period, as permitted under the specific transitional provision in the standard. The right-of-use assets are included in the property, plant and equipment.

Lee & Co has been the auditor of Insight since financial year ended 31 December 2017. During the pre-final audit conducted in October 2019, Lee & Co reviewed management's assessment on adoption of HKFRS 16 and the underlying calculation of the lease liabilities and related right-of-use assets with no issue identified.

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<u>Question 1</u> **(17 marks – approximately 31 minutes)**

(a) Evaluate the risk of material misstatements by each of relevant assertion in relation to trade receivables with the facts provided in the case.

(9 marks)

(b) Propose relevant audit procedures in addressing the risk of material misstatements identified in Question 1(a).

(8 marks)

<u>Question 2</u> **(8 marks – approximately 14 minutes)**

In response to the news that Insight and Dr Wong were blamed for negligence in a surgery carried out for a young patient, identify the risk of material misstatements to the financial statements and propose relevant audit procedures in addressing the risk.

(8 marks)

<u>Question 3</u> **(8 marks – approximately 14 minutes)**

The young patient lodged the litigation against Insight and Dr Wong in December 2019. After rounds of negotiation, Insight subsequently agreed to pay a net compensation of HK$200,000 to the young patient. The accounting manager of Insight believed that the HK$200,000 compensation should not be recorded in the financial statements of Insight for the year ended 31 December 2019 as the compensation was paid in 2020. Lee & Co concluded that this is a cut-off error and the HK$200,000 compensation should be recognised in the 2019 financial statements of Insight.

The overall materiality and de minimis level set for 2019 audit are HK$1,800,000 and HK$90,000, respectively.

<u>Required:</u>

(a) Explain whether the overall materiality and de minimis level set for 2019 audit are reasonable.

(2 marks)

(b) Assuming the overall materiality and de minimis level set for 2019 audit are reasonable, (i) consider whether Insight must adjust the HK$200,000 misstatement to the financial statements and (ii) propose relevant audit procedures that Lee & Co should consider in auditing such misstatement.

(6 marks)

<u>Question 4</u> (8 marks – approximately 14 minutes)

(a) Evaluate the risk of material misstatements in relation to property, plant and equipment (including right-of-use assets) in terms of valuation assertion by reference to the performance of individual clinic.

(2 marks)

(b) Propose relevant audit procedures in response to the risk of material misstatement identified in Question 4(a).

(6 marks)

<u>Question 5</u> (9 marks – approximately 17 minutes)

Insight has a business plan to further expand its service scope and operation into mainland China. For the benefit of Insight's continuous growth and development, Dr Wong and Dr Chan believe that Insight needs to further strengthen on its corporate governance and ask Lee & Co for advice.

<u>Required:</u>

Identify three areas on strengthening Insight's management team and treasury management that could improve its corporate governance. Explain your reasons and advise relevant improvement actions.

(9 marks)

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End of Section A

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 6 (15 marks – approximately 27 minutes)

Star Printing Limited ("SPL") is engaged in printing of books. Its major customers are book publishers. It owns a piece of land and manufacturing plant in Hong Kong that are not pledged to any loans. During the last five years, SPL has suffered significant losses due to the decrease in printed books following the digitisation. As at 31 March 2020, SPL had a net current liability position of approximately HK$156 million and has defaulted in repayments of the bank loan for six months.

Management has proposed measures to improve this situation, including (i) seeking investor who can purchase the land and lease back to SPL so that SPL can get the proceeds for the repayment of loans; (ii) actively negotiating with the bank to extend the repayment period; (iii) downsizing the business or repositioning its business strategy by diversifying its customer base not only to book publishers. Given the measures being taken place, management considers that it is appropriate for SPL to prepare its financial statements on a going concern basis. You are the auditor of SPL.

Required:

(a) Recommend the questions that you will ask management in order to understand how their measures could improve the current situation and whether management's plans are feasible in the circumstances.

(8 marks)

(b) Propose audit procedures to evaluate the appropriateness of management's use of the going concern basis of accounting in preparation of the financial statements.

(7 marks)

<u>Question 7</u> **(15 marks – approximately 27 minutes)**

O'Neil operates a few restaurants and has been recently listed in Hong Kong. Cho & Co is the auditor of O'Neil. After the listing, the following situations happened:

(a) O'Neil realised that its inventory system did not function properly therefore approached the information technology ("IT") team of Cho & Co to provide the IT services to O'Neil. The proposed IT services mainly comprise assisting the management to evaluate the inventory system, identifying areas of deficiencies which caused the malfunction; and suggesting possible solutions to improve the inventory system.

(5 marks)

(b) The management invited the audit team of Cho & Co to a listing ceremony. In the ceremony, all team members of the working parties, including the sponsors, lawyers, valuers, analysts and Cho & Co, received a perpetual membership to join one of O'Neil's private clubs.

(5 marks)

(c) After the listing, O'Neil has recruited an internal audit director who is responsible for the internal audit function and report to the Audit Committee. As there is a lack of manpower, the directors of O'Neil suggested to out-source the control testing to Cho & Co. Cho & Co will assist the internal audit director to design the internal audit plan for the internal controls over financial reporting and handle the execution of work procedures under the supervision of this internal audit director. Cho & Co will also present the testing results at the audit committee meeting.

(5 marks)

<u>Required:</u>

For each of the above situations, evaluate the respective independence threats which may affect the objectivity of Cho & Co. Advise the possible safeguards and the course of action that Cho & Co should take.

(15 marks)

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<u>Question 8</u> **(10 marks – approximately 18 minutes)**

Sky Limited is a travel agency which assists its customers to purchase air tickets. It maintains a billing system which handles sales, accounts receivable, and cash receipts, a procurement system which handles purchases, accounts payable and cash payments. Its billing and procurement systems are all automated and interfaced with its financial reporting system which generate financial information. You are the auditor of Sky Limited.

<u>Required:</u>

(a) Propose the audit approach to test the effectiveness of the IT systems maintained by Sky Limited.

(8 marks)

(b) In the middle of the year, the billing and procurement systems broke down. Sky Limited processed the sales/ receipts and purchases/ payments manually. In addition, no interface to the financial reporting system could be maintained in the second half of the year.

Propose changes to your audit approach to address the above situation.

(2 marks)

<u>Question 9</u> **(10 marks – approximately 18 minutes)**

Speed Railway Limited ("SRL") has established a defined benefit pension plan for its employees. Each year, SRL is required to estimate its pension costs performed by a qualified actuary. You are the auditor of SRL. Your firm does not have any internal actuarial expert.

<u>Required:</u>

(a) **If SRL engages a third party external actuary to estimate the pension costs, advise your audit consideration whether you can rely on this external actuary engaged by SRL.**

(5 marks)

(b) **If SRL estimates the pension costs by its own through its in-house actuary department, advise your audit consideration whether you can rely on the in-house actuary of SRL and whether you will perform additional audit work to respond to your audit consideration.**

(5 marks)

* * * END OF EXAMINATION PAPER * * *

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